

Chapter 2

Analyzing Business Transactions

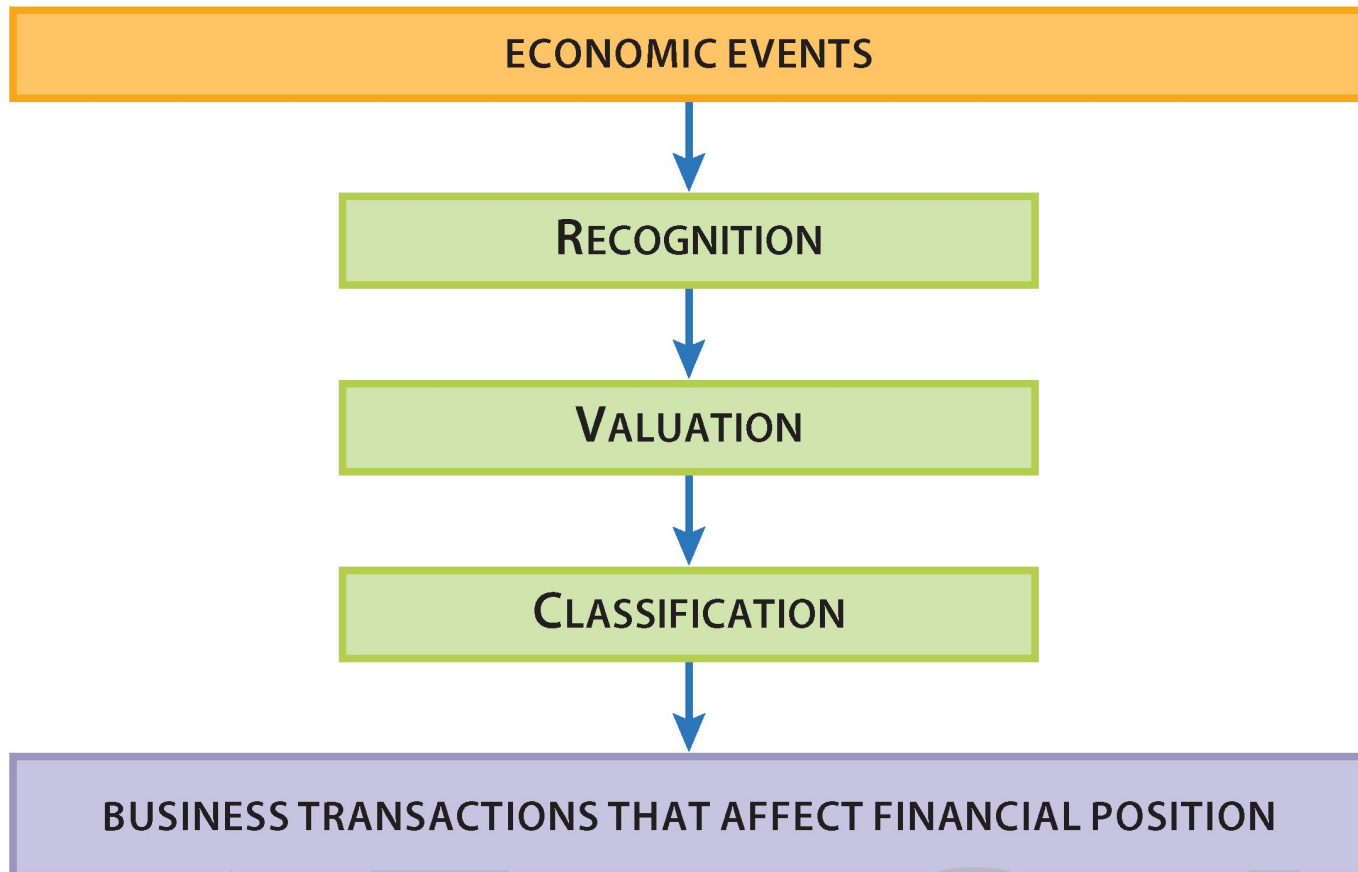


Financial Accounting, 11e

Learning Objectives

- LO 1** Explain how the concepts of recognition, valuation, and classification apply to business transactions and why they are important factors in ethical financial reporting.
- LO 2** Explain the double-entry system and the usefulness of T accounts in analyzing business transactions.
- LO 3** Demonstrate how the double-entry system is applied to common business transactions.
- LO 4** Prepare a trial balance, and describe its value and limitations.
- LO 5** Define the *chart of accounts*, *record transactions in the general journal*, and *post transactions to the ledger*.
- LO 6** Show how the timing of transactions affects cash flows and liquidity.

The Role of Measurement Issues



Measurement Issues

- Measurement of business transactions involve three key issues – recognition, valuation and classification
 - **Recognition** refers to the difficulty of deciding when a business transaction should be recorded.
 - The predetermined time at which a transaction should be recorded is the **recognition point**.

Valuation

- **Valuation** focuses on assigning a monetary value to business transactions and the resulting assets and liabilities.
 - GAAP: all business transactions should be valued at fair value when they occur.
 - **Fair value** is the exchange price of an actual or potential business transaction between market participants.
 - **Cost principle** is the practice of recording transactions at exchange price at the point of recognition. The cost, or exchange price, is used because it is verifiable.



Focus on International Practices



The Challenge of Fair Value Accounting

The measurement of fair value is a major challenge in merging international financial reporting standards (IFRS) with U.S. GAAP. Both the International Accounting Standards Board (IASB) and the Financial Accounting Standards Board (FASB) are committed to this effort. Fair value is the price at which an asset *could* be sold or a liability settled in a current transaction between independent parties. It is not the actual, or

historical, price at which the asset was acquired or the liability assumed. Because it represents the price in a hypothetical transaction, fair value is often difficult to measure. For example, when there is no ready market for an asset—as might be the case for an investment in a private company or for used factory equipment—the potential selling price may not be easy to determine.

iStock Photo

Classification

- **Classification** means assigning all the transactions in which a business engages to appropriate categories, or accounts.

Ethics and Measurement Issues

- Financial reporting frauds:
 - **Associates**—violated the guidelines for recognition
 - **Enron Corporation**—violated the guidelines for valuation
 - **WorldCom**—recorded as assets expenditures that should have been classified as expenses



Stop & Apply

Four major issues underlie every accounting transaction: recognition, valuation, classification, and ethics. Match each of these issues to the statements below that are most closely associated with the issue. A company

1. records a piece of equipment at the price paid for it.
2. records the purchase of the equipment on the day on which it takes ownership.
3. records the equipment as an expense in order to show lower earnings.
4. records the equipment as an asset because it will benefit future periods.

SOLUTION

1. valuation; 2. recognition; 3. ethics; 4. classification

Double-Entry System

- Accounting system is based on the *principle of duality*, which means that every economic event has two aspects—effort and reward, sacrifice and benefit, source and use—that offset, or balance, each other.
 - **Double-entry system**: each transaction must be recorded with at least one debit and one credit, and the total amount of the debits must equal the total amount of the credits.
- **Accounts** are the basic storage units for accounting data and are used to accumulate amounts from similar transactions.

The T Account

- The **T account**, so called because it resembles the letter T, is used to analyze transactions.

- Three parts of a T account:
 - a title, which identifies the asset, liability, or stockholders' equity account;
 - a left side, which is called the **debit** side;
 - a right side, which is called the **credit** side.

TITLE OF ACCOUNT	
Debit (left) side	Credit (right) side

The T Account Illustrated

CASH	
50,000	35,000
1,500	200
	600
51,500	35,800 ← footings
Bal. 15,700 ← balance	

- Working totals are called **footings**.
- **Balance**, or *account balance*, is the difference in dollars between the total debit footing and the total credit footing.

Rules of Double-Entry Accounting

(slide 1 of 2)

- Every transaction affects at least two accounts.
 - ▲ Debit asset accounts to *increase* them.
 - ▼ Credit asset accounts to *decrease* them.
 - ▲ Credit liabilities and stockholders' equity accounts to *increase* them.
 - ▼ Debit liabilities and stockholders' equity accounts to *decrease* them.

ASSETS		=	LIABILITIES		+	STOCKHOLDERS' EQUITY	
Debit for increases (+)	Credit for decreases (-)		Debit for decreases (-)	Credit for increases (+)		Debit for decreases (-)	Credit for increases (+)

Rules of Double-Entry Accounting

(slide 2 of 2)

- Total debits must equal total credits.
 - Dividends and expenses are deductions from stockholders' equity. Thus, transactions that *increase* dividends or expenses *decrease* stockholders' equity.

				Stockholders' Equity								
Assets	=	Liabilities	+	Common Stock	+	Retained Earnings	-	Dividends	+	Revenues	-	Expenses

ASSETS		LIABILITIES		COMMON STOCK		RETAINED EARNINGS		DIVIDENDS		REVENUES		EXPENSES	
+	-	-	+	-	+	-	+	+	-	-	+	+	-
(Dr.)	(Cr.)	(Dr.)	(Cr.)	(Dr.)	(Cr.)	(Dr.)	(Cr.)	(Dr.)	(Cr.)	(Dr.)	(Cr.)	(Dr.)	(Cr.)

Normal Balance

- The **normal balance** of an account is its usual balance and is the side (debit or credit) that increases the account.

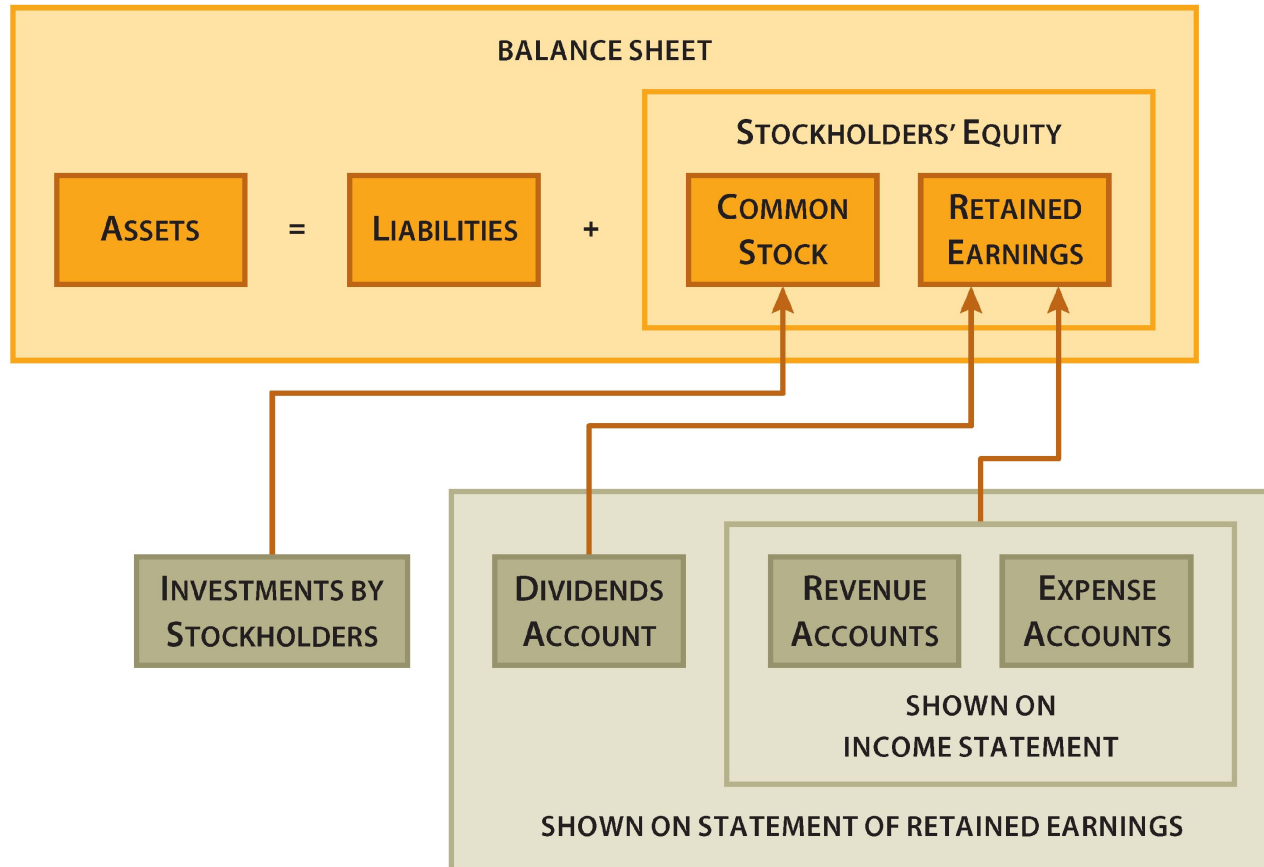
Normal Account Balances of Major Account Categories

Account Category	Increases Recorded by		Normal Balance	
	Debit	Credit	Debit	Credit
Assets	X		X	
Liabilities		X		X
Stockholders' Equity:				
Common Stock		X		X
Retained Earnings		X		X
Dividends	X		X	
Revenues		X		X
Expenses	X		X	

Stockholders' Equity Accounts

- **Stockholders' equity accounts** represent the legal claims of stockholders to the assets of a corporation.
 - By law, investments by stockholders and dividends must be separated from revenues and expenses for both income tax purposes and financial reporting purposes.
 - Managers need a detailed breakdown of revenues and expenses for budgeting and operating purposes.

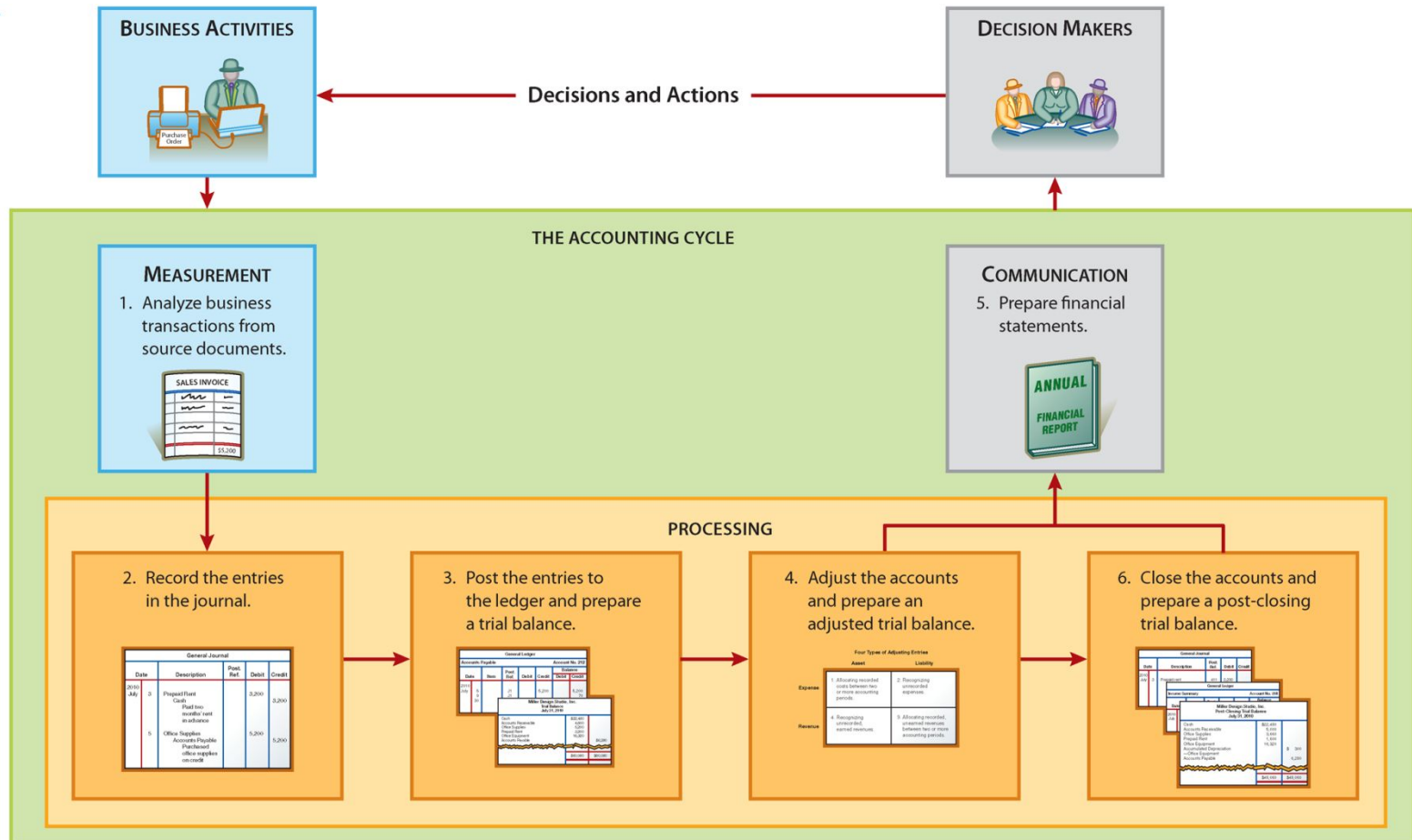
Relationships of Stockholders' Equity Accounts



The Accounting Cycle

- The **accounting cycle** is a series of six steps whose basic purpose is to produce financial statements for decision makers.
 - Step 1: *Analyze* business transactions from source documents.
 - Step 2: *Record* the transactions by entering them in the general journal.
 - Step 3: *Post* the journal entries to the ledger and prepare a trial balance.
 - Step 4: *Adjust* the accounts and prepare an adjusted trial balance.
 - Step 5: *Prepare* financial statements to communicate to decision makers.
 - Step 6: *Close* the accounts and prepare a post-closing trial balance.

Overview of the Accounting Cycle





Stop & Apply

You are given the following list of accounts with dollar amounts:

Dividends	\$ 75	Common Stock	\$ 300
Accounts Payable	200	Fees Revenue	250
Wages Expense	150	Retained Earnings	100
Cash	625		

Insert the account title at the top of its corresponding T account and enter the dollar amount as a normal balance in the account. Then show that the accounting equation is in balance.

				STOCKHOLDERS' EQUITY								
ASSETS	=	LIABILITIES	+	COMMON STOCK	+	RETAINED EARNINGS	-	DIVIDENDS	+	REVENUES	-	EXPENSES



Stop & Apply

SOLUTION

CASH	ACCOUNTS PAYABLE	COMMON STOCK	RETAINED EARNINGS	DIVIDENDS	FEES REVENUE	WAGES EXPENSE
625	200	300	100	75	250	150

Assets = Liabilities + Stockholders' Equity

$$\$625 = \$200 + (\$300 + \$100 - \$75 + \$250 - \$150)$$

$$\$625 = \$200 + \$425$$

Business Transaction Analysis

- **Source documents**—
 - invoices, receipts, checks, and contracts
 - usually provide the details of a transaction.
- A **journal entry** is a notation that records a single transaction in the chronological accounting record known as a **journal** (also sometimes called the book of original entry because it is where transactions first enter the accounting records).

EXAMPLE: Owner's Investment in the Business (slide 1 of 2)

- **July 1:** To begin the business, Toni Ross files articles of incorporation with the state to receive her charter and invests \$40,000 in Creative Designs, Inc., in exchange for 40,000 shares of \$1 par value common stock.
- **Analysis:** An owner's investment in the business
 - ▲ *increases* the asset account *Cash* with a debit and
 - ▲ *increases* the stockholders' equity account *Common Stock* with a credit.

EXAMPLE: Owner's Investment in the Business (slide 2 of 2)

<i>Application of Double Entry:</i>			
Assets		=	Liabilities + Stockholders' Equity
CASH			COMMON STOCK
July 1	40,000		July 1 40,000

<i>Journal Entry:</i>			
July 1	Cash	Dr.	Cr.
	Common Stock	40,000	40,000

- **Comment:** If Toni Ross had invested assets other than cash in the business, the appropriate asset accounts would be increased with a debit.

EXAMPLE: Prepayment of Expenses in Cash (slide 1 of 3)

- **July 3:** Rents an office; pays two months' rent in advance, \$3,200.
- **Analysis:** The prepayment of rent in cash
 - ▲ *increases* the asset account *Prepaid Rent* with a debit and
 - ▼ *decreases* the asset account *Cash* with a credit.

EXAMPLE: Prepayment of Expenses in Cash (slide 2 of 3)

Application of Double Entry:

Assets		=	Liabilities	+	Stockholders' Equity
CASH					
July 1	40,000				
July 3	3,200				
PREPAID RENT					
July 3	3,200				

Journal Entry:

		Dr.	Cr.
July 3	Prepaid Rent	3,200	
	Cash		3,200

EXAMPLE: Prepayment of Expenses in Cash (slide 3 of 3)

- **Comment:** A prepaid expense is an asset because the expenditure will benefit future operations. This transaction does not affect the totals of assets, liabilities, or stockholders' equity because it simply trades one asset for another. If the company had paid only July's rent, the stockholders' equity account *Rent Expense would be debited* because the total benefit of the expenditure would be used up in the current month.

EXAMPLE: Purchase of an Asset on Credit (slide 1 of 3)

- **July 5:** Receives office supplies ordered on July 2 and an invoice for \$5,200.
- **Analysis:** The purchase of office supplies on credit
 - ▲ *increases* the asset account *Office Supplies* with a debit and
 - ▲ *increases* the liability account *Accounts Payable* with a credit.

EXAMPLE: Purchase of an Asset on Credit (slide 2 of 3)

Application of Double Entry:

Assets		=	Liabilities		+	Stockholders' Equity	
OFFICE SUPPLIES			ACCOUNTS PAYABLE				
July 5	5,200			July 5	5,200		

Journal Entry:

		Dr.	Cr.
July 5	Office Supplies	5,200	
	Accounts Payable		5,200

EXAMPLE: Purchase of an Asset on Credit (slide 3 of 3)

- **Comment:** Office supplies in this transaction are considered an asset (prepaid expense) because they will not be used up in the current month and thus will benefit future periods. Accounts Payable is used when there is a delay between the time of the purchase and the time of payment.

EXAMPLE: Purchase of an Asset Partly in Cash and Partly on Credit

(slide 1 of 2)

- **July 6:** Purchases equipment, \$16,320; pays \$13,320 in cash and agrees to pay the rest next month.
- **Analysis:** The purchase of office equipment in cash and on credit
 - ▲ increases the asset account *Office Equipment* with a debit,
 - ▼ decreases the asset account *Cash* with a credit, and
 - ▲ increases the liability account *Accounts Payable* with a credit.

EXAMPLE: Purchase of an Asset Partly in Cash and Partly on Credit

(slide 2 of 2)

- **Comment:** As this transaction illustrates, assets may be paid for partly in cash and partly on credit.

Application of Double Entry:

Assets				=	Liabilities		+	Stockholders' Equity
CASH					ACCOUNTS PAYABLE			
July 1	40,000	July 3	3,200			July 5	5,200	
		6	13,320			6	3,000	
OFFICE EQUIPMENT								
July 6	16,320							

Journal Entry:

		Dr.	Cr.
July 6	Office Equipment	16,320	
	Cash		13,320
	Accounts Payable		3,000

- When more than two accounts are involved in a journal entry, as they are in this one, it is called a **compound entry**.

EXAMPLE: Payment of a Liability

(1 of 2)

- **July 9:** Makes a partial payment of the amount owed for the office supplies received on July 5, \$2,600.
- **Analysis:** A payment of a liability
 - ▼ decreases the liability account *Accounts Payable* with a debit and
 - ▼ decreases the asset account *Cash* with a credit.

EXAMPLE: Payment of a Liability

(2 of 2)

Application of Double Entry:

Assets				=	Liabilities				+	Stockholders' Equity	
CASH					ACCOUNTS PAYABLE						
July 1	40,000	July 3	3,200		July 9	2,600	July 5	5,200			
		6	13,320				6	3,000			
		9	2,600								

Journal Entry:

July 9	Accounts Payable	Dr.	2,600	Cr.	2,600
	Cash				

- **Comment:** Note that the office supplies were recorded when they were purchased on July 5.

EXAMPLE: Revenue in Cash

(slide 1 of 2)

- **July 10:** Performs a service for an investment advisor by designing a series of brochures and collects a fee in cash, \$2,800.
- **Analysis:** A revenue received in cash
 - ▲ *increases* the asset account *Cash* with a debit and
 - ▲ *increases* the stockholders' equity account *Design Revenue* with a credit.

EXAMPLE: Revenue in Cash

(slide 2 of 2)

Application of Double Entry:

Assets

CASH

July 140,000

102,800

July 33,200

613,320

92,600

=

Liabilities

+

Stockholders' Equity

DESIGN REVENUE

July 102,800

Journal Entry:

July 10

Cash

Design Revenue

Dr.

2,800

Cr.

2,800

- **Comment:** For this transaction, revenue is recognized when the service is provided and the cash is received.

EXAMPLE: Revenue on Credit

(slide 1 of 2)

- **July 15:** Performs a service for a department store by designing a TV commercial; bills for the fee now but will be paid later, \$9,600.
- **Analysis:** A revenue billed to a customer
 - ▲ increases the asset account *Accounts Receivable* with a debit and
 - ▲ increases the stockholders' equity account *Design Revenue* with a credit. *Accounts Receivable* is used to indicate the customer's obligation until it is paid.

EXAMPLE: Revenue on Credit

(slide 2 of 2)

<i>Application of Double Entry:</i>			
Assets		=	Liabilities + Stockholders' Equity
ACCOUNTS RECEIVABLE			DESIGN REVENUE
July 15	9,600		July 10 2,800
			15 9,600

<i>Journal Entry:</i>			
July 15	Accounts Receivable	Dr. 9,600	Cr.
	Design Revenue		9,600

- **Comment:** In this case, there is a delay between the time revenue is earned and the time the cash is received. Revenues are recorded at the time they are earned and billed regardless of when cash is received.

EXAMPLE: Revenue Received in Advance (slide 1 of 2)

- **July 19:** Accepts an advance fee as a deposit on a series of brochures to be designed, \$1,400.
- **Analysis:** A revenue received in advance
 - ▲ increases the asset account *Cash* with a debit and
 - ▲ increases the liability account *Unearned Design Revenue* with a credit.

EXAMPLE: Revenue Received in Advance (slide 2 of 2)

Application of Double Entry:

Assets				=	Liabilities		+	Stockholders' Equity
CASH					UNEARNED DESIGN REVENUE			
July 1	40,000	July 3	3,200			July 19	1,400	
10	2,800	6	13,320					
19	1,400	9	2,600					

Journal Entry:

		Dr.	Cr.
July 19	Cash	1,400	
	Unearned Design Revenue		1,400

- **Comment:** In this case, payment is received before the fees are earned. *Unearned Design Revenue* is a liability because the firm must provide the service or return the deposit.

EXAMPLE: Collection on Account

(slide 1 of 2)

- **July 22:** Receives partial payment from customer billed on July 15, \$5,000.
- **Analysis:** Collection of an account receivable from a customer previously billed
 - ▲ *increases* the asset account *Cash* with a debit and
 - ▼ *decreases* the asset account *Accounts Receivable* with a credit.

EXAMPLE: Collection on Account

(slide 2 of 2)

Application of Double Entry:

Assets		=	Liabilities	+	Stockholders' Equity
CASH					
July 1	40,000		July 3	3,200	
10	2,800		6	13,320	
19	1,400		9	2,600	
22	5,000				
ACCOUNTS RECEIVABLE					
July 15	9,600		July 22	5,000	

Journal Entry:

July 22	Cash	Dr.	5,000	Cr.	
	Accounts Receivable				5,000

- **Comment:** Note that the revenue related to this transaction was recorded on July 15. Thus, no revenue is recorded at this time.

EXAMPLE: Expense Paid in Cash

(slide 1 of 2)

- **July 26:** Pays employees four weeks' wages, \$4,800.
- **Analysis:** This cash expense
 - ▲ increases the stockholders' equity account Wages Expense with a debit and
 - ▼ decreases the asset account Cash with a credit.

EXAMPLE: Expense Paid in Cash

(slide 2 of 2)

Application of Double Entry:

Assets				=	Liabilities	+	Stockholders' Equity	
CASH							WAGES EXPENSE	
July 1	40,000	July 3	3,200				July 26	4,800
10	2,800	6	13,200					
19	1,400	9	2,600					
22	5,000	26	4,800					

Journal Entry:

July 26	Wages Expense	Dr.	4,800		Cr.	
	Cash					4,800

- **Comment:** The increase in *Wages Expense* will decrease stockholders' equity.

EXAMPLE: Expense to Be Paid

Later (slide 1 of 2)

- **July 30:** Receives, but does not pay, the utility bill, which is due next month, \$680.
- **Analysis:** This cash expense
 - ▲ *increases* the stockholders' equity account *Utilities Expense* with a debit and
 - ▲ *increases* the liability account *Accounts Payable* with a credit.

EXAMPLE: Expense to Be Paid

Later (slide 2 of 2)

Application of Double Entry:

Assets	=	Liabilities	+	Stockholders' Equity
		ACCOUNTS PAYABLE		UTILITIES EXPENSE
		July 9 2,600		July 30 680
		July 5 5,200		
		6 3,000		
		30 680		

Journal Entry:

July 30	Utilities Expense	Dr.	Cr.
	Accounts Payable	680	680

- **Comment:** The expense is recorded if the benefit has been received and the amount is owed, even if the cash is not to be paid until later. Note that the increase in *Utility Expense* will *decrease* stockholders' equity.

EXAMPLE: Dividends

(slide 1 of 2)

- **July 31:** Declares and pays a dividend, \$2,800.
- **Analysis:** Payment of a cash dividend
 - ▲ increases the stockholders' equity account Dividends with a debit and
 - ▼ decreases the asset account Cash with a credit.

EXAMPLE: Dividends

(slide 2 of 2)

Application of Double Entry:

Assets				=	Liabilities	+	Stockholders' Equity	
CASH							DIVIDENDS	
July 1	40,000	July 3	3,200				July 31	2,800
10	2,800	6	13,320					
19	1,400	9	2,600					
22	5,000	26	4,800					
		31	2,800					

Journal Entry:

July 31	Dividends	Dr.	2,800	←	Cr.	2,800
	Cash					

- **Comment:** Note that the increase in *Dividends* will result in a *decrease* in stockholders' equity.

Summary of Transactions of Creative Designs, Inc.

Assets				=	Liabilities				+	Stockholders' Equity			
CASH					ACCOUNTS PAYABLE					COMMON STOCK			
July 1	40,000	July 3	3,200		July 9	2,600	July 5	5,200			July 1	40,000	
10	2,800	6	13,320				6	3,000					
19	1,400	9	2,600				30	680					
22	5,000	26	4,800										
		31	2,800										
	49,200		26,720			2,600		8,880					
	Bal.		22,480					Bal.	6,280				
ACCOUNTS RECEIVABLE					UNEARNED DESIGN REVENUE					DESIGN REVENUE			
July 15	9,600	July 22	5,000				July 19	1,400			July 10	2,800	
	Bal.		4,600								15	9,600	
												Bal.	12,400
OFFICE SUPPLIES										WAGES EXPENSE			
July 5	5,200									July 26	4,800		
PREPAID RENT										UTILITIES EXPENSE			
July 3	3,200									July 30	680		
OFFICE EQUIPMENT													
July 6	16,320												
Assets				=	Liabilities				+	Stockholders' Equity			
	\$51,800			=					+				\$44,120

This account links to the statement of cash flows.

These accounts link to the income statement.



Stop & Apply

Eva's Nail Salon, a company that provides manicures and pedicures, has the following accounts:

- | | |
|------------------------|---------------------|
| 1. Cash | 5. Accounts Payable |
| 2. Accounts Receivable | 6. Services Revenue |
| 3. Supplies | 7. Wages Expense |
| 4. Equipment | 8. Rent Expense |

Debit Credit

- | | | |
|---|-------|-------|
| a. Made a rent payment for the current month. | _____ | _____ |
| b. Received cash from customers for current services. | _____ | _____ |
| c. Agreed to accept payment next month from a client
for current services. | _____ | _____ |
| d. Purchased supplies on credit. | _____ | _____ |
| e. Purchased a new chair and table for cash. | _____ | _____ |
| f. Made a payment on accounts payable. | _____ | _____ |



Stop & Apply

SOLUTION

	Debit	Credit
a. Made a rent payment for the current month.	8	1
b. Received cash from customers for current services.	1	6
c. Agreed to accept payment next month from a client for current services.	2	6
d. Purchased supplies on credit.	3	5
e. Purchased a new chair and table for cash.	4	1
f. Made a payment on accounts payable.	5	1

The Trial Balance

- The **trial balance** tests that the total of debits and credits in the accounts are equal.

Creative Designs, Inc.			
Trial Balance			
July 31, 2011			
Cash	\$22,480		
Accounts Receivable	4,600		
Office Supplies	5,200		
Prepaid Rent	3,200		
Office Equipment	16,320		
Accounts Payable		\$ 6,280	
Unearned Design Revenue		1,400	
Common Stock		40,000	
Dividends	2,800		
Design Revenue		12,400	
Wages Expense	4,800		
Utilities Expense	680		
	<u>\$60,080</u>		<u>\$60,080</u>

Preparation and Use of a Trial Balance

- **Step 1:** List each account that has a balance, with debit balances in the left column and credit balances in the right column. Accounts are listed in the order in which they appear on the financial statements.
- **Step 2:** Add each column.
- **Step 3:** Compare the totals of the columns.

Finding Trial Balance Errors

- If the debit and credit balances in a trial balance are not equal, look for one or more of the following errors:
 - A debit was entered in an account as a credit, or vice versa.
 - The balance of an account was computed incorrectly.
 - An error was made in carrying the account balance to the trial balance.
 - The trial balance was summed incorrectly.
 - Recording an account as a credit when it usually carries a debit balance or vice versa; this causes the trial balance to be out of balance by an amount divisible by 2.



Stop & Apply

Prepare a trial balance from the following list of Ringo Company's accounts as of March 31, 2011. Compute the balance of cash.

Accounts Payable	\$9	Equipment	\$2
Accounts Receivable	5	Land	6
Building	10	Retained Earnings	8
Cash	?	Supplies	3
Common Stock	13		

SOLUTION

Ringo Company Trial Balance March 31, 2011

Cash	\$ 4			
Accounts Receivable		5		
Supplies	3			
Land	6			
Building		10		
Equipment	2			
Accounts Payable			\$9	
Common Stock			13	
Retained Earnings			8	
	30	30	<u> </u>	<u> </u>
			<u> </u>	<u> </u>

Recording and Posting Transactions

- **Chart of Accounts:** A list of numbers assigned to account titles to help identify accounts in the ledger and to make them easy to find.
- **General Journal**
 - Common type of journal used in keeping a chronological record of financial transactions
 - Most businesses have more than one kind of journal. The simplest and most flexible kind is the **general journal**.

The General Journal

General Journal					Page 1
Date		Description	Post. Ref.	Debit	Credit
2011 July	3	Prepaid Rent Cash Paid two months' rent in advance		3,200	3,200
	5	Office Supplies Accounts Payable Purchased office supplies on credit		5,200	5,200

Chart of Accounts for a Small Business

Account Number	Account Name	Description
Assets		
111	Cash	Money and any medium of exchange (coins, currency, checks, money orders, and money on deposit in a bank)
112	Notes Receivable	Promissory notes due from others (written promises to pay definite sums of money at fixed future dates)
113	Accounts Receivable	Amounts due from others for revenues or sales on credit (sales on account)
116	Office Supplies	Prepaid expense; office supplies purchased and not used
117	Prepaid Rent	Prepaid expense; rent paid in advance and not used
118	Prepaid Insurance	Prepaid expense; insurance purchased and not expired
141	Land	Property owned for use in the business
142	Buildings	Structures owned for use in the business
143	Accumulated Depreciation—Buildings	Periodic allocation of the cost of buildings to expense; deducted from Buildings
146	Office Equipment	Office equipment owned for use in the business
147	Accumulated Depreciation—Office Equipment	Periodic allocation of the cost of office equipment to expense; deducted from Office Equipment
Liabilities		
211	Notes Payable	Promissory notes due to others
212	Accounts Payable	Amounts due to others for purchases on credit
213	Unearned Design Revenue	Unearned revenue; advance deposits for website design to be provided in the future
214	Wages Payable	Amounts due to employees for wages earned and not paid
215	Income Taxes Payable	Amounts due to government for income taxes owed and not paid
Stockholders' Equity		
311	Common Stock	Stockholders' investments in a corporation for which they receive shares of stock
312	Retained Earnings	Stockholders' claims against company assets derived from profitable operations
313	Dividends	Distributions of assets (usually cash) that reduce retained earnings
314	Income Summary	Temporary account used at the end of the accounting period to summarize the revenues and expenses for the period
Revenues		
411	Design Revenue	Revenues derived from website design services
Expenses		
511	Wages Expense	Amounts earned by employees
512	Utilities Expense	Amounts for utilities used, such as water, electricity, and gas
513	Telephone Expense	Amounts of telephone services used
514	Rent Expense	Amounts of rent on property and buildings used
515	Insurance Expense	Amounts for insurance expired
517	Office Supplies Expense	Amounts for office supplies used
518	Depreciation Expense—Buildings	Amount of buildings' cost allocated to expense
520	Depreciation Expense—Office Equipment	Amount of office equipment cost allocated to expense
521	Income Taxes Expense	Amount of tax on income

General Ledger

- The **general ledger** is used to update each account.
- The **ledger account form** contains four columns for dollar amounts.
- The process of transferring information from the journal to the ledger is called **posting**.

Accounts Payable in the General Ledger

General Ledger							
Accounts Payable						Account No. 212	
Date		Item	Post. Ref.	Debit	Credit	Balance	
						Debit	Credit
2011 July	5		J1		5,200		5,200
	6		J1		3,000		8,200
	9		J1	2,600			5,600
	30		J2		680		6,280

Posting from the General Journal to the Ledger

General Journal

Page 2

Date		Description	Post. Ref.	Debit	Credit
2011 July	30	Utilities Expense Accounts Payable Received bill from utility company	512 212	680	680

Accounts Payable

Account No. 212

Date		Item	Post. Ref.	Debit	Credit	Balance	
						Debit	Credit
2011 July	5		J1		5,200		5,200
	6		J1		3,000		8,200
	9		J1	2,600			5,600
	30		J2		680		6,280

General Ledger

Utilities Expense

Account No. 512

Date		Item	Post. Ref.	Debit	Credit	Balance	
						Debit	Credit
2011 July	30		J2	680		680	

Formatting Guidelines

MCDONALD'S FINANCIAL HIGHLIGHTS (in millions)*

	2009	2008
Cash	\$ 1,796.0	\$ 2,063.4
Accounts receivable	1,060.4	931.2
Inventories	106.2	111.5
Prepaid expenses	453.7	411.5
Total current assets	\$ 3,416.3	\$ 3,517.6
Property and equipment (net)	21,531.5	20,254.5
Other assets	5,277.1	4,689.4
Total assets	\$30,224.9	\$28,461.5

*Adapted from 2009 Annual Report

❶ A ruled line appears in financial reports before each subtotal and total to indicate that the amounts above are added or subtracted. It is common practice to use a double line under a final total to show that it has been verified.

❷ Dollar signs (\$) are required in all financial statements and in the trial balance and other schedules. On these reports, a dollar sign should be placed before the first amount in each column and before the first amount in a column following a ruled line. Dollar signs in the same column are aligned. Dollar signs are not used in journals and ledgers.

❸ On normal unruled paper, commas and decimal points are used when recording dollar amounts. On the paper used in journals and ledgers, commas and decimal points are unnecessary because ruled columns are provided to properly align dollars and cents. Commas, dollar signs, and decimal points are also unnecessary in electronic spreadsheets. In this book, because most problems and illustrations are in whole dollar amounts, the cents column usually is omitted. When accountants deal with whole dollars, they often use a dash in the cents column to indicate whole dollars rather than taking the time to write zeros.

❹ Account names are capitalized when referenced in text or listed in work documents like the journal or ledger. In financial statement, however, only the first word of an account name is capitalized.



Stop & Apply

Prepare journal entries for the transactions described below. Use these account numbers—Cash (111), Supplies (114), and Accounts Payable (212)—to show in the Post. Ref. column that the entries have been posted:

June 4 Purchased supplies for \$40 on credit

June 8 Paid for the supplies purchased on June 4

SOLUTION

		Post.			
<u>Date</u>	<u>Description</u>		<u>Ref.</u>	<u>Debit</u>	<u>Credit</u>
June 4	Supplies	114	40		
	Accounts Payable		212	40	
	<i>(Purchased supplies on credit)</i>				
June 8	Accounts Payable		212	40	
	Cash				
	<i>(Paid amount due for supplies)</i>				

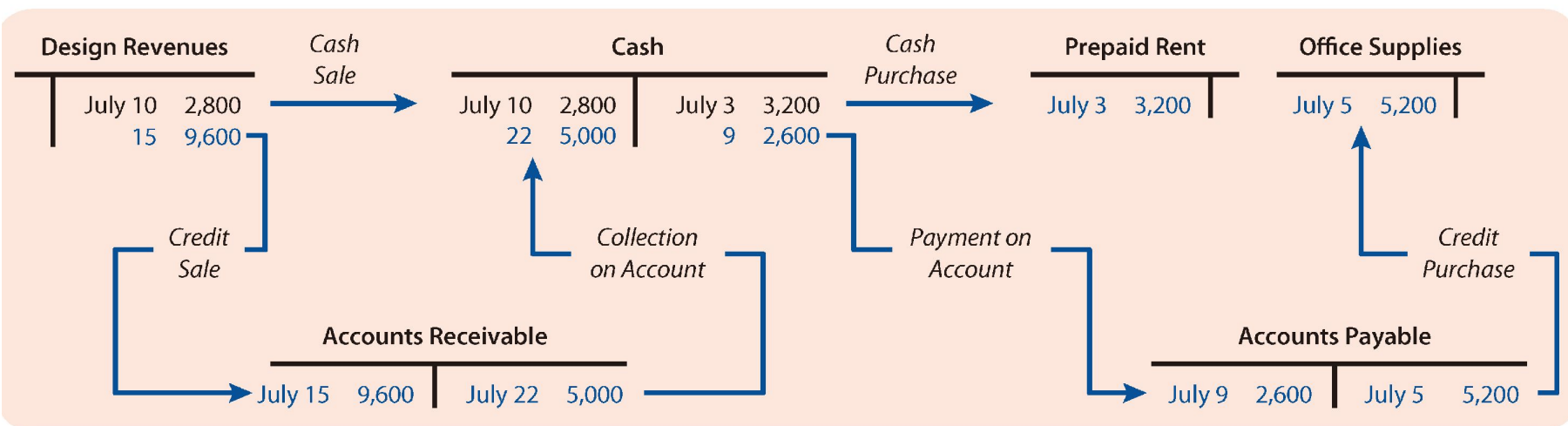
Cash Flows and the Timing of Transactions

- To avoid financial distress, a company must be able to pay its bills on time.
- It is important to understand the difference between transactions that generate immediate cash and those that do not.

EXAMPLE: Transactions of Creative Designs, Inc.

- **July 3:** Creative Designs prepaid rent of \$3,200.
- **July 5:** The firm received an invoice for office supplies in the amount of \$5,200 and deferred payment.
- **July 9:** The firm paid \$2,600, but deferred paying the remaining \$2,600 until after the end of the month.
- **July 10:** Creative Designs received a cash payment of \$2,800.
- **July 15:** The firm billed a customer \$9,600 for a service it had already performed.
- **July 22:** The firm received a partial payment of \$5,000 from the customer, but not received the remaining \$4,600 by the end of the month.
- The company must pay careful attention to its cash flows and liquidity to ensure that it receives payment for services performed in time to pay for services or supplies purchased.

Transactions of Creative Designs, Inc.





Stop & Apply

A company engaged in the following transactions:

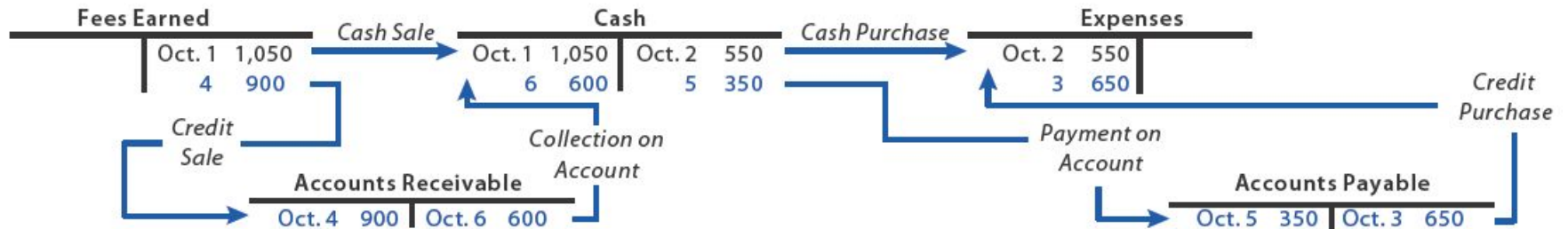
- Oct. 1 Performed services for cash, \$1,050.
- 2 Paid expenses in cash, \$550.
 - 3 Incurred expenses on credit, \$650.
 - 4 Performed services on credit, \$900.
 - 5 Paid on account, \$350.
 - 6 Collected on account, \$600.

Enter the correct titles in the following T accounts and enter the above transactions in the accounts. Determine the cash balance after these transactions, the amount still to be received, and the amount still to be paid.



Stop & Apply

Solution



Cash balance after transactions: $\$1,050 + \$600 - \$550 - \$350 = \$750$

Amount still to be received: $\$900 - \$600 = \$300$

Amount still to be paid: $\$650 - \$350 = \$300$